

Session 2.4: Midterm Strategy Audit

Primary filing financial reconciliation, 10-K audit trails, and WeWork valuation collapse.

PART 1 (LECTURE)
60 Minutes

PART 2 (LAB PRACTICE)
60 Minutes

PART 3 (EXECUTIVE MEMO)
60 Minutes

STANDARD
Audited SEC Filings

Learning Objectives & Executive Overview

Clear conceptual grounding for undergraduate and graduate business students.

CORE COMPETENCIES

Goals

What You Will Master Today

- **Theoretical Mastery:** Evaluate seminal literature and analytical frameworks governing platform competition.
- **Empirical Rigor:** Reconcile management strategic claims with legally audited statutory filings.
- **Data Modeling:** Execute spreadsheet calculations with explicit coordinates and formula logic.
- **Executive Formulation:** Deliver structured board-level recommendations resolving complex trade-offs.

AUDIT-FIRST STRATEGY

Vocabulary

Key Topical Foundations

- **Synthesis of M1 & M2::** Network effects, pricing power, and asset intensity.
- **Narrative vs. Accounting::** Verifying investor deck claims against audited 10-K.
- **Footnote Reconciliation::** Reconciling ARR/EBITDA claims to GAAP statements.
- **Micro-Examples::** SaaS ARR validation, active user metric disclosures.

Theoretical Foundations: Audit-First Strategy

Rigorous analytical frameworks and literature benchmarks.

THEORETICAL ARCHITECTURE

Literature

Seminal Framework Insights

- **Synthesis of M1 & M2::** Network effects, pricing power, and asset intensity.
- **Narrative vs. Accounting::** Verifying investor deck claims against audited 10-K.
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STRATEGIC APPLICATION

Analysis

Business Model Mechanics

- **2019 IPO Withdrawal::** Private market valuation reached \$47 billion.
- **Audit Dissection::** Analysts audited S-1: revealed \$47B non-cancellable leases.
- **Heavy Cash Burn::** Annual operating losses exceeding \$1.6 billion.
- **Market Discipline::** Public investors rejected IPO; valuation collapsed.

STRATEGIC TAKEAWAY

Primary filing financial reconciliation, 10-K audit trails, and WeWork valuation collapse.

Enterprise Case Dissection: WeWork S-1 Collapse

Historical case evidence and multi-year corporate trajectory analysis.

CORPORATE DYNAMICS

Timeline

Market Conditions & Strategic Moves

- *2019 IPO Withdrawal::* Private market valuation reached \$47 billion.
- *Audit Dissection::* Analysts audited S-1: revealed \$47B non-cancellable leases.
- *Heavy Cash Burn::* Annual operating losses exceeding \$1.6 billion.
- *Market Discipline::* Public investors rejected IPO; valuation collapsed.

ANALYTICAL FOCUS

Evidence

Operational & Financial Findings

- *Audit Template::* Populating 5-year financials for chosen project company.
- *Page Citations::* Recording exact 10-K document and page for every metric.
- *Margin Formulas::* Gross margin ($=GP/Rev*100$) & Op margin ($=OI/Rev*100$).
- *Reconciliation Check::* Confirming Gross Profit equals Revenue minus COGS.

Lab Dataset & Empirical Metrics: Applied Excel Lab

Reconciling corporate filings with explicit spreadsheet formulas.

SPREADSHEET MODELING

Lab Spec

Data Metrics & Formulas

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MANAGEMENT DILEMMA

Decision Lab

Strategic Tension

- ***Peer Audit Protocol::*** Swapping workbooks & verifying 3 random cells against 10-K.
- ***Trajectory Synthesis::*** Assessing whether digital transformation expanded margin.
- ***CAC Inflation::*** Detecting when rising customer acquisition costs erode margin.
- ***Executive Brief::*** 1-page midterm audit assessment for company management.

Executive Problem Solving: Executive Lab

Framing complex management dilemmas and evaluating corporate trade-offs.

EXECUTIVE CHALLENGE

Dilemma

Corporate Strategic Tension

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EVALUATION RUBRIC

Requirements

Board-Level Deliverable

- **Actionable Recommendation:** Formulate a concrete 3-bullet decision brief for senior leadership.
- **Quantitative Defense:** Support recommendations using audited financial metrics from the lab spreadsheet.
- **Risk Mitigation:** Address channel friction, partner resistance, or competitive retaliation.
- **Implementation Timeline:** Define immediate 90-day execution milestones.

Lab Transition: 120-Minute Hands-On Execution

Transitioning from lecture observation to hands-on data manipulation and strategic decision-making.

EXERCISE 1: FOUNDATIONAL PRACTICE

60 Min Lab

Applied Excel Lab

Hands-on spreadsheet protocol using audited historical numbers:

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- **Page Citations::** Recording exact 10-K document and page for every metric.
- **Margin Formulas::** Gross margin ($=GP/Rev*100$) & Op margin ($=OI/Rev*100$).
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EXERCISE 2+: ADVANCED PROBLEM SOLVING

60 Min Memo

Executive Lab

Applied scenario analysis, trade-off evaluation, and executive brief:

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